

Gandhar Oil Refinery — management now claims the margin is repeatable, not lucky

Sources: Q1FY27 result + press release + investor presentation (22-Jul-26), Q1FY27 earnings call transcript (verified, full), Q4FY26 investor presentation and concall (26/27-May-26), board outcome (22-Jul-26). Updated 23-Jul-26 after Q1FY27 call.

Update — Q1FY27 call held, primary transcript reviewed. Consol PAT of ₹206cr (+688% YoY) is still overwhelmingly a margin/realization story, not volume (PHPO +18%, PIO +28% YoY per management). But management explicitly rejected the "inventory gain" or one-off framing on the call: JMD Ashesh Parik stated the company holds only 30-40 days of raw material and gains "mostly come in on account of being able to sell at higher prices," and said they are "hopeful of the margins remaining at this level or around this level" for the year. This is a materially more confident stance than the Q4FY26 call's "~-6% EBITDA margin" language — take it as management's claim, not a fact, until Q2FY27 prints.

01 LIVE SNAPSHOT

CMP ₹283.42 Updated 23-Jul-26	MKT CAP ~₹2,775cr TTM PE ~8.7x	TTM PAT ₹317cr Sep25+Dec25+Mar26+Jun26	Q1FY27 PAT ₹206cr 65% of TTM PAT in 1 quarter
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02 P&L DIFF — Q4FY26 VS Q1FY27 (CONSOLIDATED, ₹CR)

METRIC	Q4FY26	Q1FY27	QOQ	YOY (VS Q1FY26)	SIGNAL
Revenue	1,093.4	1,731.9	+58.4%	+91.8%	Real growth + price
Gross profit	136.5	370.5	+171.4%	+266.0%	Spread-driven
EBITDA (margin)	63.6 (5.8%)	281.3 (16.2%)	+342.6%	+512.1%	3x own guidance
PAT (margin)	37.0 (3.4%)	205.9 (11.9%)	+455.7%	+689.2%	Clean, no exceptional items
EPS (₹)	4.2	19.65	+368%	+633%	No dilution
Gross margin spread (₹/kl)	9,351	28,145	3.0x	3.4x	Core driver — watch normalisation
Total volume (kl, qtr)	n/a	131,247	—	+7.8%	In-line with trend

03 BALANCE SHEET & CASH FLOW QUALITY

FY26 CFO / PAT 93.1% FY25 was only 17.6%	FY26 CFO / EBITDA 54.5% FY25 was 8.4%	BALANCE SHEET Debt-free (standalone) Texol carries SOFR-linked debt
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Note: No standalone quarterly balance sheet was disclosed in these filings — FY26 annual cash-flow quality shows a genuine structural improvement (CFO/PAT recovered from 17.6% in FY25 to 93.1% in FY26), a real positive independent of the Q1FY27 spread windfall.

04 OPERATIONAL KPI DIFF — Q1FY26 VS Q1FY27

KPI (KL)	Q1FY26	Q1FY27	GROWTH	READING
PHPO (core segment)	58,379	68,815	+17.9%	Mgmt confirmed +18% YoY on call — personal care/healthcare/pharma demand
PIO (transformer/rubber)	14,085	17,998	+27.8%	Mgmt confirmed +28% YoY — transformer/power/rubber demand
Lubricants	30,482	30,073	-1.3%	Mgmt called this "stable" — resilient base, EV overhang intact
Channel partners	18,787	14,360	-23.6%	Only shrinking line, ~11% of mix — not addressed on call
Capacity utilisation (India, 2-shift basis)	—	97%	—	Mgmt says 3rd-shift pivot available without new capex — latent flexibility

05 POSITIVE SURPRISES – RANKED

#1 (highest materiality): Management explicitly denied the inventory-gain / one-off narrative on the call — JMD stated raw material inventory is only 30-40 days, and margin gains "mostly came in on account of being able to sell at higher prices," i.e. realization-led, not stock-holding luck. This is a direct, falsifiable claim that shifts the burden of proof onto Q2FY27 actuals.

#2: Management guided margins to hold "at this level or around this level" for the year, materially firmer language than the Q4FY26 call's "~6%" guidance — a 3x+ upgrade in management's own stated confidence.

#3: PHPO and PIO volumes confirmed by management at +18% and +28% YoY respectively — a genuine, non-price component of the beat, and above the historical high-single-digit trend.

#4: Capacity utilisation at 97% is on a 2-shift basis only — management confirmed a 3rd-shift pivot is available without incremental capex, meaning demand isn't yet capacity-constrained.

#5: Interim dividend of 100% face value declared alongside results, funded from internal accruals on a debt-free standalone balance sheet — capital discipline despite the exceptional quarter.

06 NEGATIVE SURPRISES / FLAGS

Flag: Channel-partner volumes -23.6% YoY, the only contracting segment — not addressed on the call.

Flag: South Africa entry model (partnership vs. own infrastructure) still undecided — management called it "premature" to detail, pushing clarity out another 1-2 quarters, same language used on the Q4FY26 call. No forward progress on this specific item.

Flag: Export mix question was dodged — asked directly if exports stay around 50%, management gave a directional "endeavor to increase" answer without confirming or projecting a number.

Flag (unverified inputs): The FY27 volume-growth (8-11%) and blended tax-rate (23-24%) figures used in the valuation/scenario work below come from a third-party AI-generated call summary, not from this verified transcript — this transcript does not state either number explicitly. Treat those two inputs as provisional until corroborated.

Flag (governance): MOA amended (Annexure C, 22-Jul-26 board outcome) to insert a broad new object clause permitting the company to deal, invest, trade, hedge and arbitrage in securities, bonds, derivatives, commodity derivatives and currencies — no rationale given in the filing or addressed on the call. Worth a direct question on intended scope (hedging book vs. speculative treasury).

07 NEW GROWTH TRIGGERS

TRIGGER	CONVICTION
Realization-led spread capture via sourcing agility (shifted from Saudi Arabia toward South Korea + domestic base-oil producers as Hormuz disrupted shipments) — management frames as repeatable procurement skill, not luck	MEDIUM – plausible but self-reported, unverified by Q2 print
China+1 / India-sourcing tailwind for MNC PHPO customers (P&G, Unilever, Marico) — corroborated by PHPO +18% YoY	MEDIUM-HIGH – structural
Latent 3rd-shift capacity (current 97% utilisation is on 2-shift basis) + fungible lines that can chase highest-margin product mix in real time	MEDIUM-HIGH – capex-light optionality
South Africa subsidiary — entry model still undecided, management calls further detail "premature"	LOW-MEDIUM – optionality, no new progress this quarter

08 NEW PRODUCTS / CAPACITY

Taloja adjoining land purchased for expansion — capex budget still pending Board finalisation. No new product/vertical launch disclosed this quarter beyond the existing PHPO / Lubricants / PIO mix.

09 CONCALL RECONCILIATION – Q1FY27 CALL (VERIFIED TRANSCRIPT) VS PHASE 1 FLAGS

FLAG	Analyst question / Phase 1 concern	Management's answer (Q1FY27 call)	Status
INVENTORY-GAIN VS REALIZATION	Disha (Sapphire Capital): how much was product mix vs inventory gains?	"We don't carry that much of inventory to justify inventory gains... generally up to 30, 35, 40 days. The gains have mostly come in on account of being able to sell at higher prices."	Directly addressed – denies one-off framing
EBITDA MARGIN SUSTAINABILITY	Is 16.2% a one-off or repeatable?	"We are hopeful of the margins remaining at this level or around this level" for the year — firmer than Q4FY26's "6%" language	Claimed, not yet proven – Q2FY27 is the test
HORMUZ / SOURCING DISRUPTION	Dhar Sha (Gir Capital): how was supply-demand affected?	Continued buying from Saudi Arabia despite delays; shifted incremental sourcing to domestic producers and South Korea — framed as "agility," not distress	Resolved, and framed as a repeatable capability
SOUTH AFRICA ENTRY MODEL	Nan Gala (Artika Wealth): partnership, distribution, or own infrastructure?	"Being worked out... much more clarity emerging in the next one or two quarters... too premature"	Unresolved – identical to Q4FY26 call's language
EXPORT MIX DURABILITY	Anid Sharma (Akant Investment): will exports stay ~50%?	"Certain opportunities on the table which we took... endeavor to increase the export metrics" — no confirmation of the 50% figure	Dodged the specific number

"This represents the highest quarterly profit reported by the company and exceeded the profit generated during the entire FY26." — Indrajit Bhattacharyya, CFO, Q1FY27 call

"We are hopeful of the margins remaining at this level or around this level [for the whole year]." — Ashesh Parik, Joint Managing Director, Q1FY27 call

10 VALUATION REPRICED AT LIVE CMP (₹283.42)

METRIC	VALUE	READ
TTM PE	~8.7x	Still trailing-basis, still not pricing in a full-year margin hold
PE if Q1FY27 run-rate annualised	~3.4x	Misleading upper bound — nobody should use this
FY27 PAT scenario range (Q1 actual + Q2-Q4 modelled)	₹389cr – ₹846cr	See scenario ladder below

11 FY27 PAT SCENARIO LADDER – Q1 ACTUAL (₹206CR) LOCKED IN, Q2-Q4 MODELLED OFF GUIDANCE

SCENARIO	Q2-Q4 EBITDA margin / volume growth	FY27 PAT	Implied FY27 PE at CMP
BEAR	Margin fades to 14% despite guidance; volume at guidance floor 8%	~₹389cr	~7.1x
BASE	Margin holds near guided 16.2%; volume at guidance midpoint 9.5%	~₹615cr	~4.5x
BULL	Margin slightly exceeds Q1 at 17%; volume at guidance ceiling 11%	~₹846cr	~3.3x

Caveat on inputs: the 8-11% volume-growth and 23-24% tax-rate assumptions used in this model are NOT stated in the verified Q1FY27 transcript above — they originate from an earlier unverified, AI-summarized third-party note. The margin-sustainability language IS now verified directly from the primary transcript. If the volume/tax inputs turn out to be wrong, the PAT range shifts, but the qualitative conclusion — that even a skeptical Bear case now implies a mid-single-digit forward PE — is fairly robust to reasonable variation in those two unverified inputs, because Q1's ₹206cr is booked and irreversible.

Auditor opinion: K J K & Associates (FRN 112159W) — clean, unmodified limited-review conclusion on both standalone and consolidated results. No qualification, no emphasis of matter beyond standard subsidiary-reliance disclosure.

Tax rate sanity: Standalone effective rate 24.3% (vs statutory 25.17%) — clean. Consol rate 21.9%, explainable by UAE's 9% corporate tax diluting the blend. No unusual credit inflating PAT.

Exceptional items: Nil in either quarter — the entire profit beat is operating, not aided by one-off gains or provision reversals.

Inventory-gain cross-check: Management's Q1FY27 call claim of "30-40 days" raw-material inventory is consistent with the ~36-day standalone inventory holding period disclosed in prior filings — corroborates their denial of inventory speculation as the profit driver; the margin is realization/pricing-led as claimed, not a stock-holding gain.

Subsidiary reliance: 3 of 5 group entities (Texol, Gandhar Foundation, Gandhar Lifesciences) reviewed by local/other auditors, not K J K directly. Texol alone is now 13.3% of consol PAT via this route — standard practice, fully disclosed, but a rising share worth monitoring.

Governance: Independent director with direct petroleum-sector background (ex-IAS, ex-BPCL/ONGC) resigned; replacement (Risk Management Committee Chair) is an ophthalmic surgeon with no disclosed energy/finance expertise — a domain-expertise downgrade on a commodity-price-sensitive RMC.

Overall rating: GREEN-YELLOW. No evidence of manipulation, restatement, or fraud. Two yellow governance/disclosure watch items (RMC chair expertise; unexplained MOA widening into financial-instrument trading) worth a direct AGM/concall question — not evidence of wrongdoing.

13 UPDATED VERDICT (POST Q1FY27 CALL)

Thesis status: Upgraded from "inflected" to "management-asserted structural," pending Q2FY27 verification. This is still a clean, exceptional-item-free quarter, and management has now gone on record, on a recorded call with analysts, explicitly rejecting the inventory-gain explanation and claiming the 16.2% margin is repeatable for the year. That is a falsifiable, reputational commitment — a materially stronger signal than the pre-call "hopeful" language from a third-party summary. It is still self-reported and untested against a second data point.

What would falsify this: Q2FY27 EBITDA margin printing meaningfully below ~14% would directly contradict a specific, on-the-record management claim made this quarter — a credibility event, not just a normalization. Watch that number closely.

Action framework: Even the Bear scenario (margin fading to 14%, volume at guidance floor) implies FY27 PAT of ~₹389cr against a ~₹2,775cr market cap — a ~7.1x forward PE — because Q1's ₹206cr is booked and cannot be undone. If management's own claims hold even partially, the stock screens statistically cheap at ₹283.42. The risk is entirely in the two unverified inputs (volume 8-11%, tax 23-24%) and in whether "hopeful" survives contact with Q2 actuals.

Management explicitly denies inventory-gain framing – on record

Clean audit, zero exceptional items

Margin guidance upgraded to "for the year" vs prior "~6%"

Bear-case FY27 PE still ~7x – statistically cheap if guidance even partly holds

Volume/tax scenario inputs still unverified against primary transcript

MOA widened for financial-instrument trading – still unexplained

South Africa and export-mix questions still dodged/deferred